Particulars	Debit ₹	Particulars	Credit ₹
Opening stock	15,000	Capital	25,000
Furniture and fixtures	30,000	Returns outward	1,000
Purchases	40,000	Bills payable	10,000
Sales returns	2,000	Sales	1,24,000
Carriage inwards	10,000	Provision for doubtful debts	500
Office rent	23,000	Provision for discount on debtors	100
Sundry debtors	20,100		
Bank balance	19,600		
Bad debts	900		
	1,60,600		1,60,600

Adjustments:

(a) Stock at the end of the year was ₹ 8,000

(b) Further bad debts amounted to ₹ 100

(c) Create 2% provision for doubtful debts on sundry debtors

(d) Create 1% provision for discount on sundry debtors

In the books of Ajith

Dr. Trading and Profit and Loss Account for the year ended 31st March, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening Stock		15,000	By Sales	1,24,000	
To Purchases	40,000		Less: Sales returns	2,000	1,22,000
Less: Returns outward	1,000	39,000	By Closing stock		8,000
To Carriage inwards		10,000			
To Gross profit c/d		**66,000**			
		1,30,000			1,30,000
To Office rent		23,000	By Gross profit b/d		66,000
To Provision for bad and doubtful debts (closing)	400				
Add: Bad debts	900				
Add: Further bad debts	100				
	1,400				
Less: Provision for bad and doubtful debts (opening)	500	900			
To Provision for discount on debtors (closing)	196				
Less: Provision for discount on debtors (opening)	100	96			
To Net profit (transferred to capital A/c)		**42,004**			
		66,000			66,000

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